NYU SHANGHAI 上海纽约大学

International Political Economy (SOCS-SHU 222)

TRADE AND DEVELOPMENT II:

NEOLIBERALISM AND INSTITUTIONALISM

Instructor: JING QIAN

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NYU SHANGHAI 上海纽约大学 | Social Science 世界史(社会科学)

NYU Shanghai
International & Comparative
Political Economy Speaker Series

China's Evolving Central-Local Relations

Jianzi He

Visiting Assistant Professor
Duke Kunshan University

Host by Jing Qian, Assistant Professor of Political Science, NYU Shanghai

Date: Wednesday, March 11 | 3:45-5:00 PM
Room: N201

Register on Engage

Figure generated by ChatGPT

First-Quiz: How It Works

- Host on Brightspace
- Available between (China Standard Time):
  - Start: Thursday, March 19, at 8:00AM
  - End: Sunday, March 22, at 11:59PM
- Duration: 90 minutes
  - Pick anytime to start, (auto)submit in 90 minutes
- Important notes:
  - Plan ahead, check batteries, internet, drinks, etc.
  - No guarantees of immediate email response from me during your quiz

First-Quiz: What to Expect

- Total time: 90 minutes
- Question format:
  - ~45 multiple-choice questions
  - ~15 fill-in-the-blanks/short answers
- Roughly*
  - 70% coming directly from lectures & slides
  - The rest from readings, including guest lectures and field trips
- Last question will be allocating the weights between the two quizzes
  - Choose anywhere between 20% - 40% for the first quiz
  - The rest will be allocated to the second quiz
  - You will have to decide before you submit the 1st quiz

PLEASE, PLEASE, PLEASE

The quiz is OPEN-BOOK

- What you can do
  - ✓ Check slides, textbooks, readings.
  - ✓ Check your notes.
  - ✓ Access online materials using search engines and Wikipedia.
- What you **ABSOLUTELY SHOULD NOT DO**
  - ➢ Communicate (in any form) with classmates who has not taken the quiz
  - ➢ Record/Save the quiz questions in any form
  - ➢ Use any GenAI to similar tools to help you with the quiz

As a student in NYU Shanghai, I pledge that:

- I will perform honestly all my academic obligations. I will not represent the words, works, or ideas of others as my own; will not cheat; and will not seek to mislead faculty or other academic officers in their evaluation of my course work or in any other academic affairs.
- I will behave with decorum and civility, and with respectful regard for all members of the University—faculty, staff, and fellow students— our guests, and members of our wider communities.
- I will abide by NYU Shanghai and by NYU rules of conduct and policies on academic integrity and by the special requirements of any individual course of study or other academic activity.
- I will endeavor earnestly to uphold the values, standards, and ideals on which our university community depends and call on others to do so.

https://shanghai.nyu.edu/content/academic-integrity
https://bulletins.nyu.edu/undergraduate/shanghai/academic-policies/standards-conduct/standards-conduct.pdf

Resources

- Lecture slides
- Textbook and other required readings
- Weekly Assignments* (to be shared later)
- Office Hours
- *More on Wednesday, March 18*

Trade and Development II:

Neoliberalism and Institutionalism

READING ASSIGNMENT:

Oatley Chapter 7

NYU SHANGHAI
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Part 1: The Problems of ISI

Recall Government Policies to Promote ISI

- Investment in activities the private sector would not produce
- State-owned Enterprises (& mixed-owned)
- Trade barriers (tariffs)
- Tax policies (marketing board)

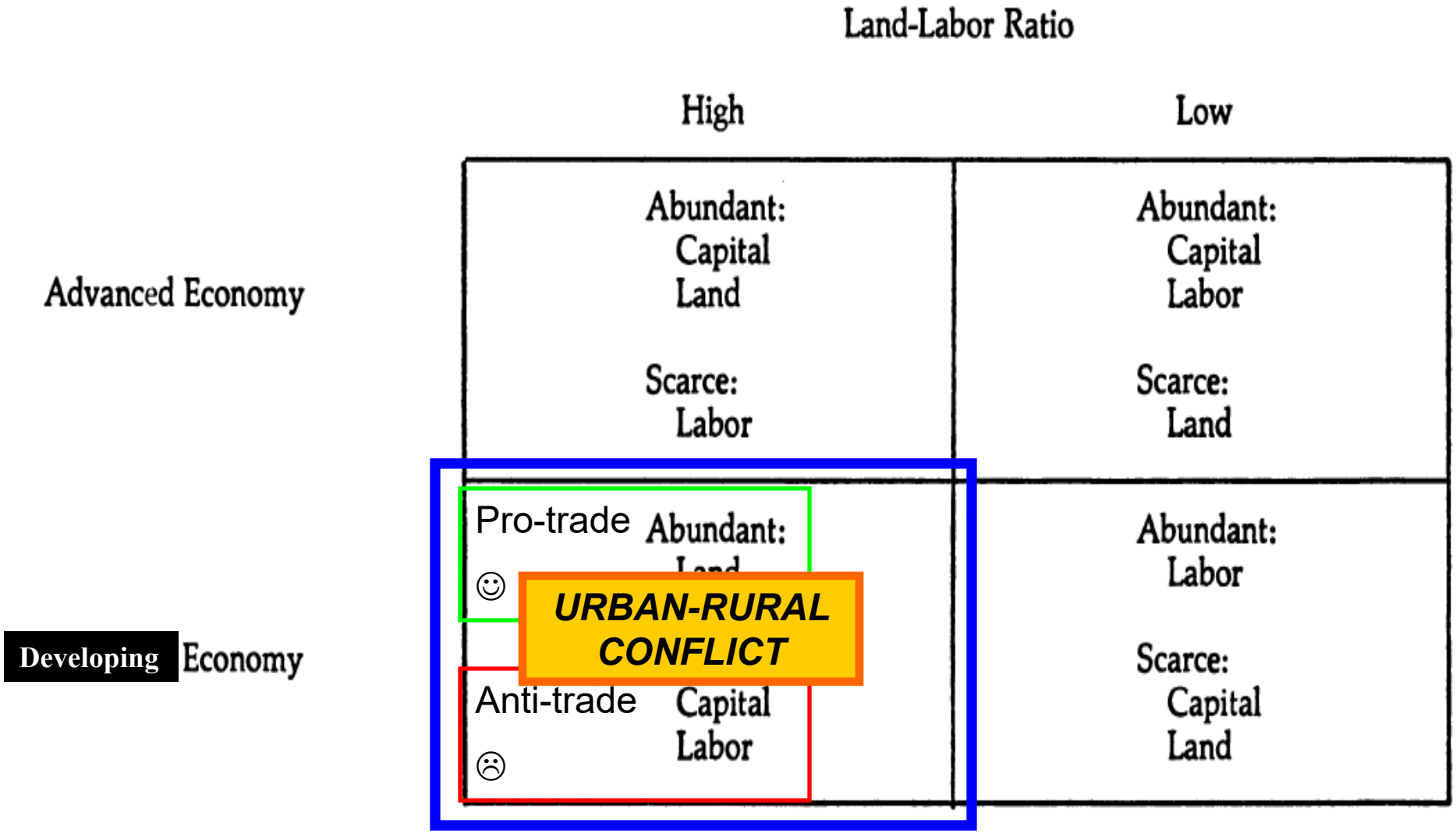
Costly & Unbalanced

Government Budget Deficits

- Government budgets
  - Public investment and SOEs require (a lot of) money
  - But these SOEs are rarely profitable
  - Urban subsidies and public sector expansions added to government expenditure
    - Why pleasing the urban population?

Why was it hard to break free of ISI?

Figure 1. Four Main Types of Factor Endowments



Current Account Deficits

- Current account deficits
  - Current account: Registers a country's imports & exports of both goods and services
  - Deficit means: Imports > Exports
  - Why?
    - Manufactured goods were not globally competitive – only sold domestically
    - Marketing boards weakened agriculture
    - Governments preferred overvalued exchange rates (benefit imports but hurt exports)

Part 2: Changes and Reforms

How did governments keep the system going until the 1980s?

- Where does the money come from?
- Borrowing!
  - Foreign loans
- Loans need to be repaid, but:
  - Infrastructure projects & domestic consumption, did not generate enough revenues
  - International shocks: oil price ↑, terms of trade ↓, interest rates ↑
- The IMF & the World Bank

At what prices?

Structural Adjustments

- Governments needed to take a smaller role in policy areas where markets work reasonably well
- Stable macroeconomic environment –
  - transform budget deficits into surpluses; raise interest rates; devalue the exchange rate
  - ➔cut demand; change current account deficits into surpluses
- Liberalize trade
- Privatize State-Owned Enterprises
- Neocolonialism? (Dependency theory?)

Why is this (im)possible?

Part 3: The East Asian Miracle

Hong Myung-bo
Head Coach,
South Korea Men’s National Soccer Team

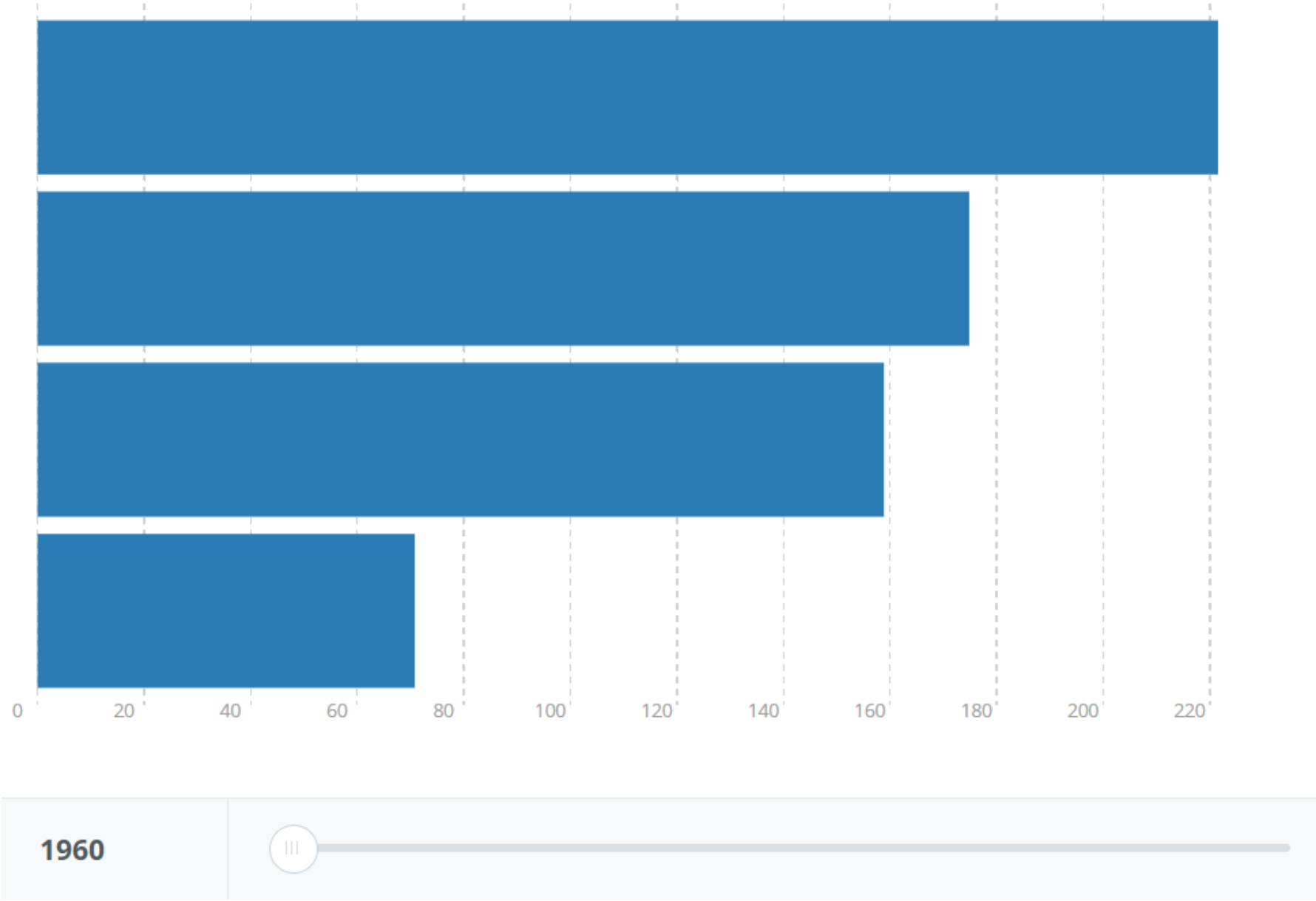
POHANG STEELERS

Pohang Iron & Steel Co., Ltd

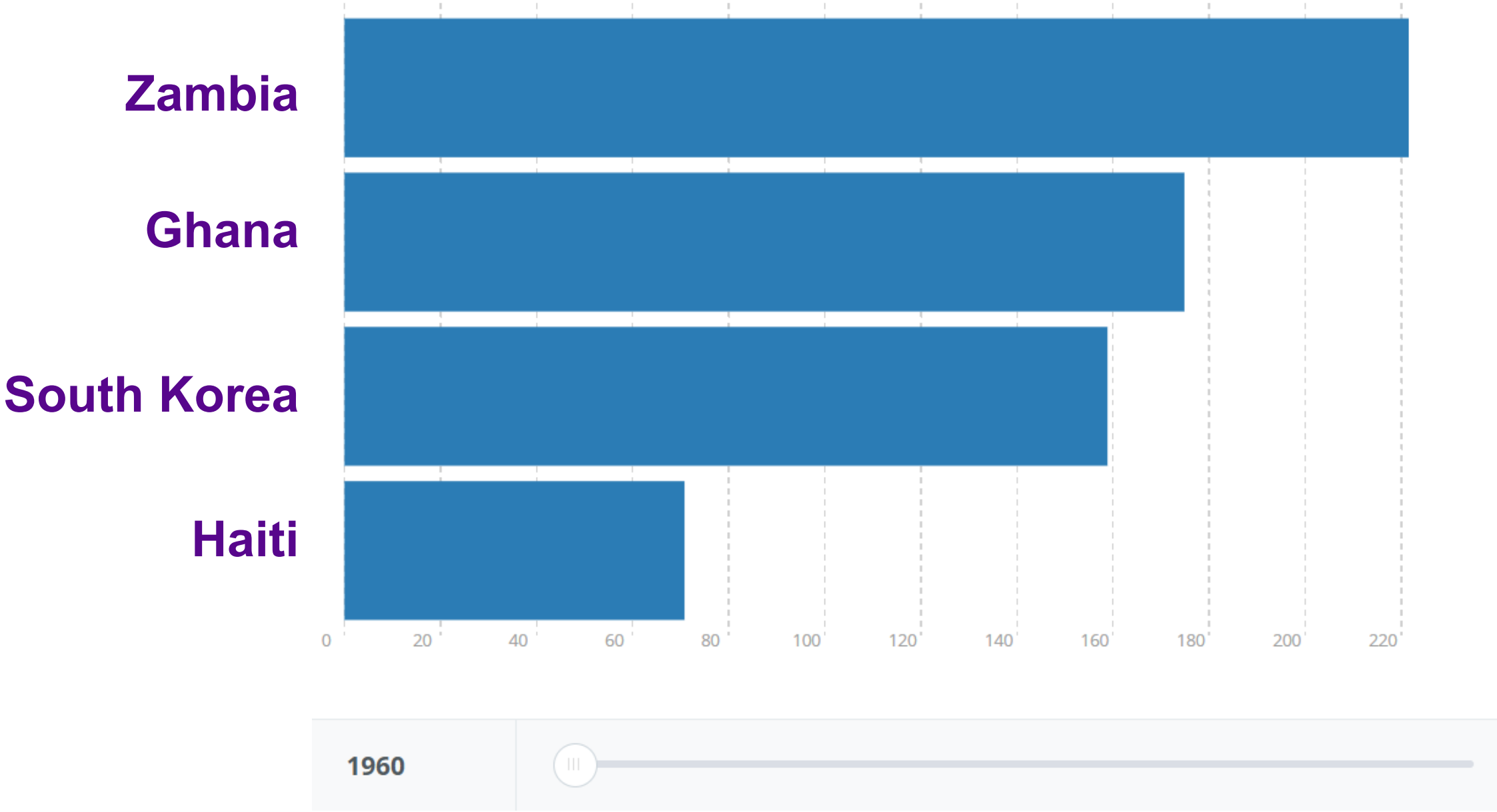
posco

Which bar is :

- Ghana
- Haiti
- South Korea
- Zambia

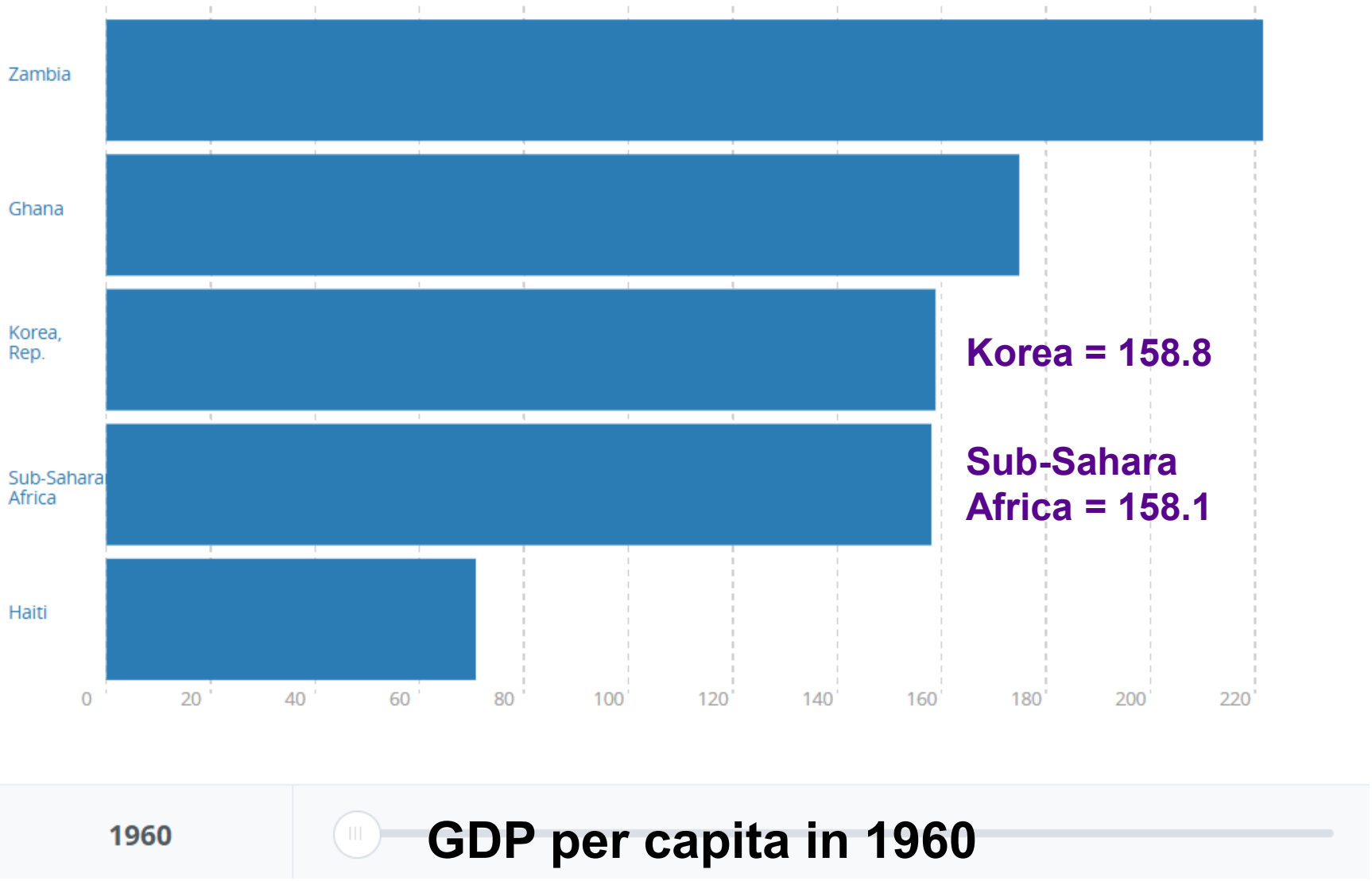


GDP per capita in 1960



GDP per capita in 1960

S. Korea was REALLY POOR in the 1960s



South Korea Wants An Integrated Steel Mill

WORLD BANK GROUP

"expressed the view that an integrated steel mill in Korea was a premature proposition without economic feasibility"

“[South Korea] had no comparative advantage in the production of steel”

1968

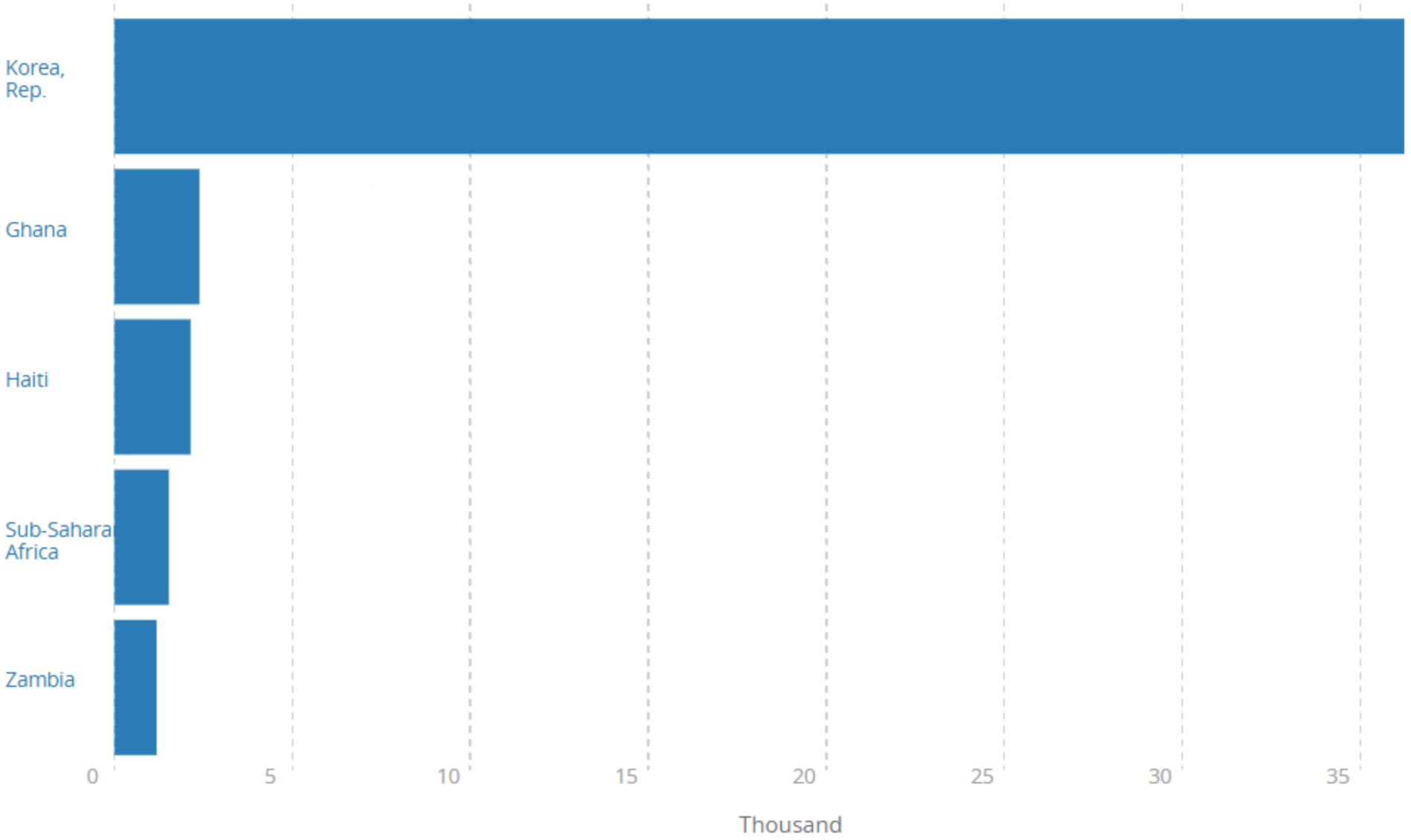
- **Apr. 1** Established Pohang Iron and Steel Company. Mr. Tae-joon Park took office as its first president
- **May 20** Opened the Pohang Construction Office, dubbed Rommel House

Top producers by volume [edit]

N°	Company	Country	2024[1]	2023[2]
1	Baowu	China	130.09	130.77
2	ArcelorMittal	Luxembourg	65.00	68.52
3	Ansteel Group	China	59.55	55.89
4	Nippon Steel	Japan	43.64	43.66
5	Hesteel Group	China	42.28	41.34
6	Jiangsu Shagang	China	40.22	40.54
7	POSCO	South Korea	37.79	38.44
8	Jianlong Steel	China	39.37	36.99
9	Shougang	China	31.57	33.58
10	Tata Steel	India	31.02	29.50

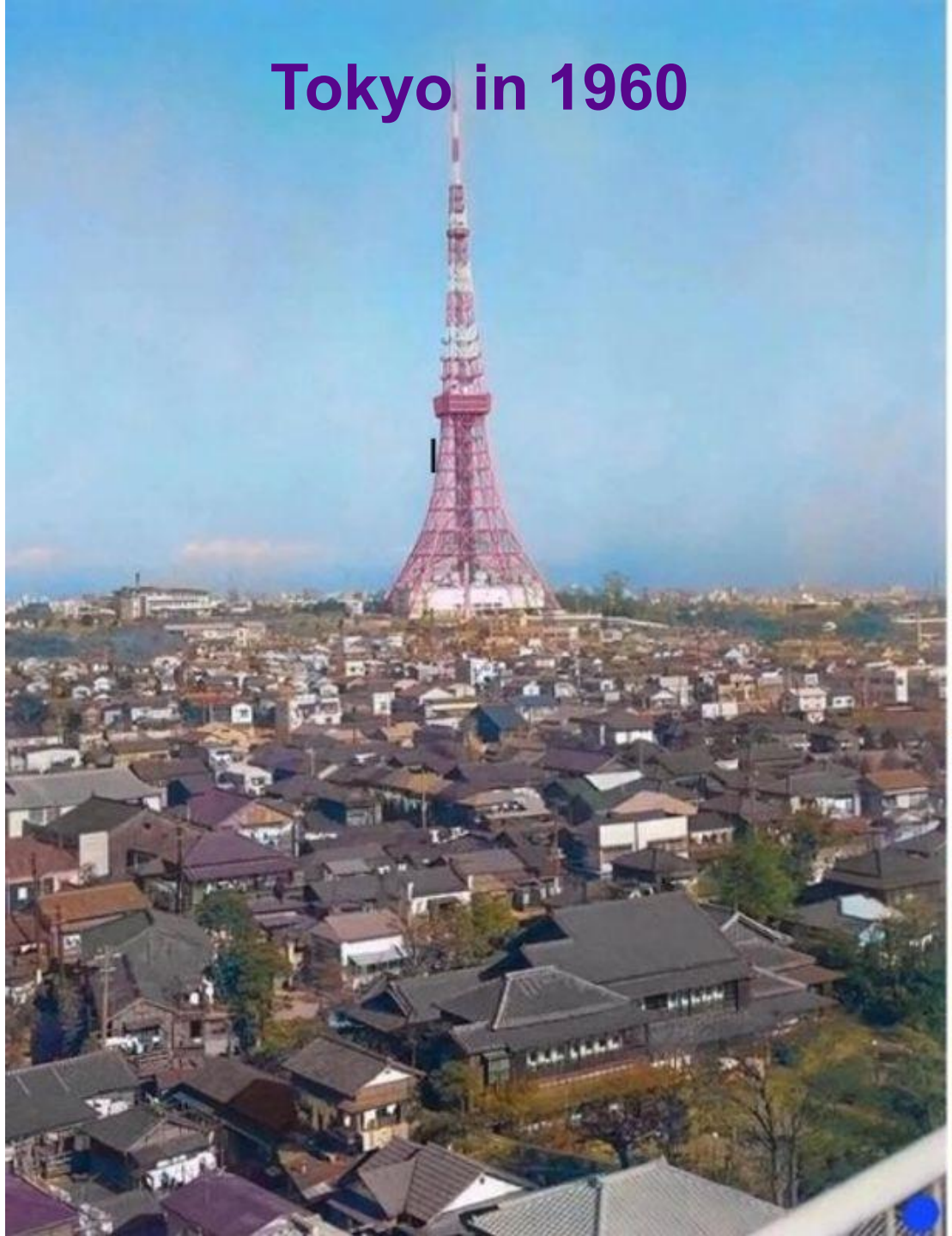
Seoul in 1950s

Seoul in 2020s



2024

GDP per capita in 2024


Tokyo in 1960

Tokyo in 2023

Shanghai in 1996

Shanghai in 2017

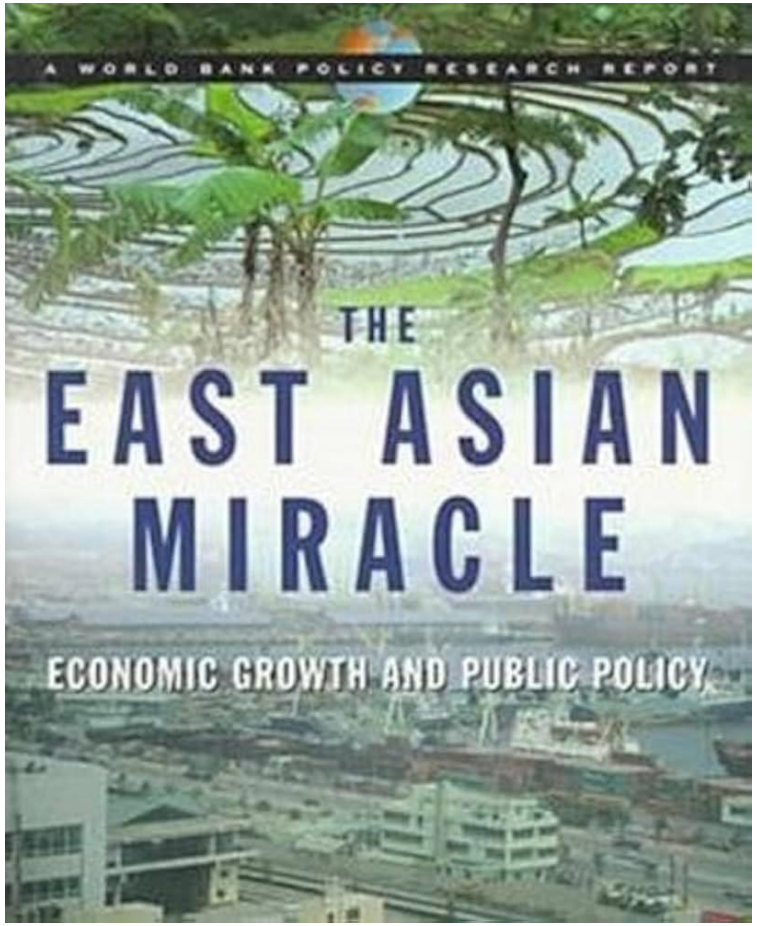
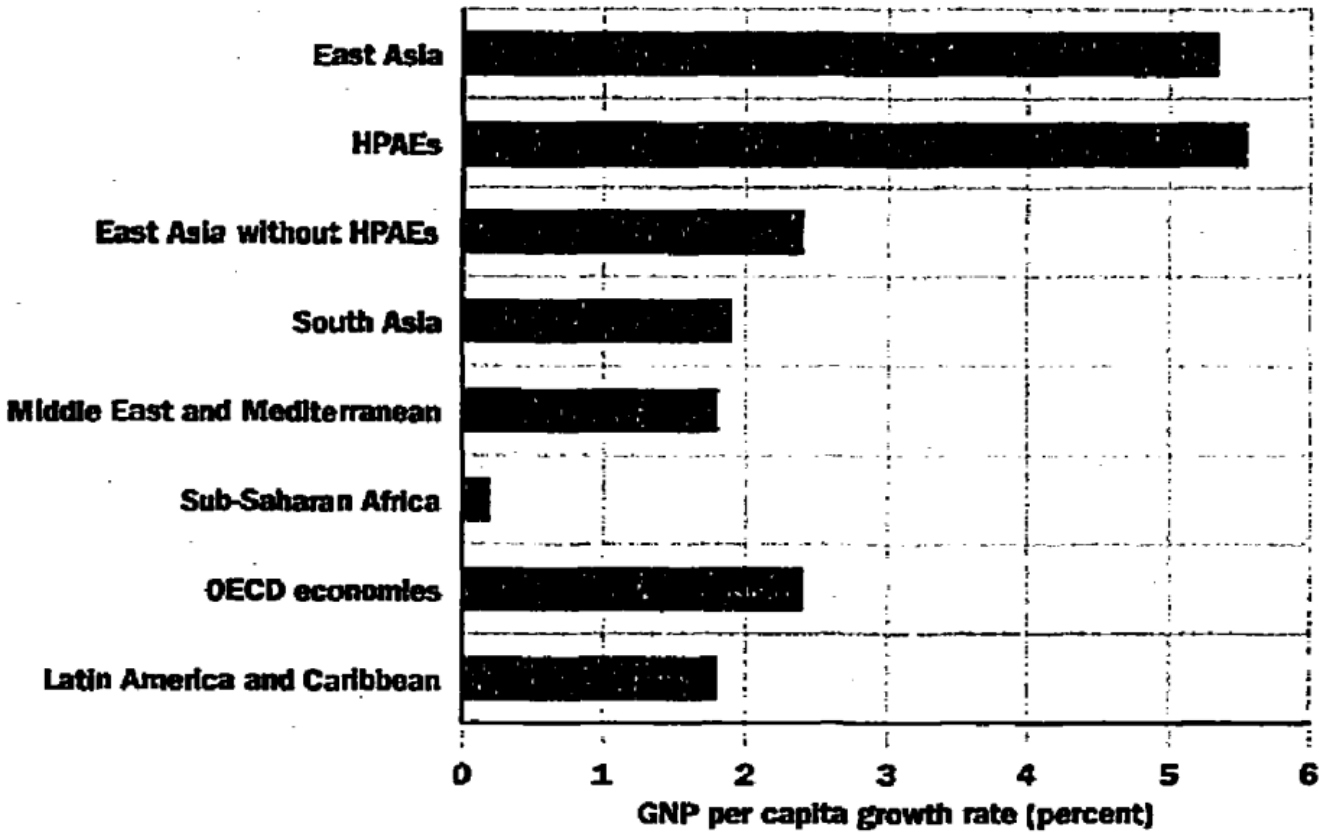


Figure 1 Average Growth of GNP per Capita, 1965–90



Source: World Bank (1992d).

High-Performing Asian Economies (HPAEs)

- **Japan**
- **Four Tigers**
  - Hong Kong, South Korea, Singapore, Taiwan
- **Newly Industralizing Economies (NIEs)**
  - Indonesia, Malaysia, Thailand

High-Performing Asian Economies (HPAEs)

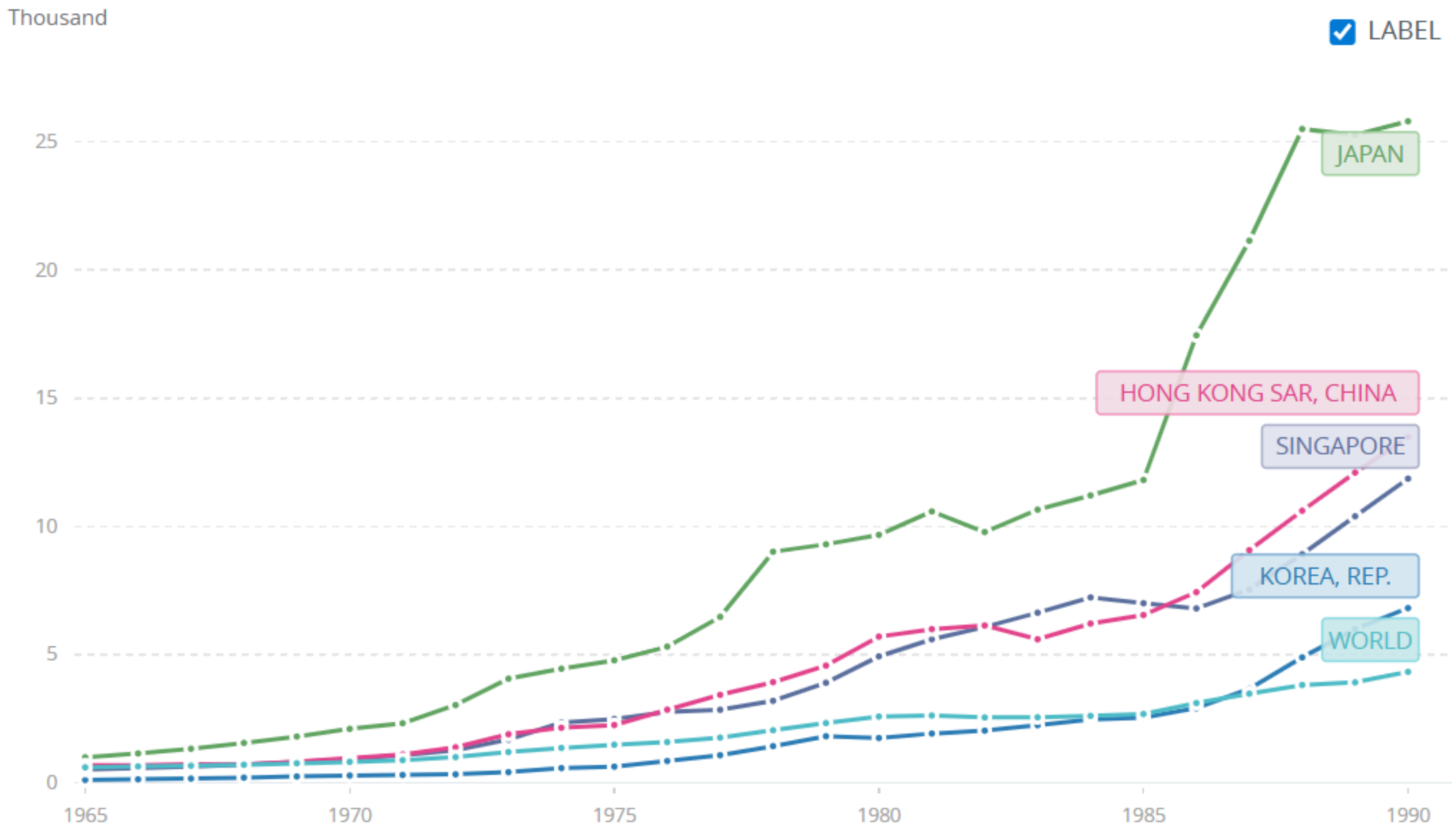


Figure 1: World Growth
(1960-1990)

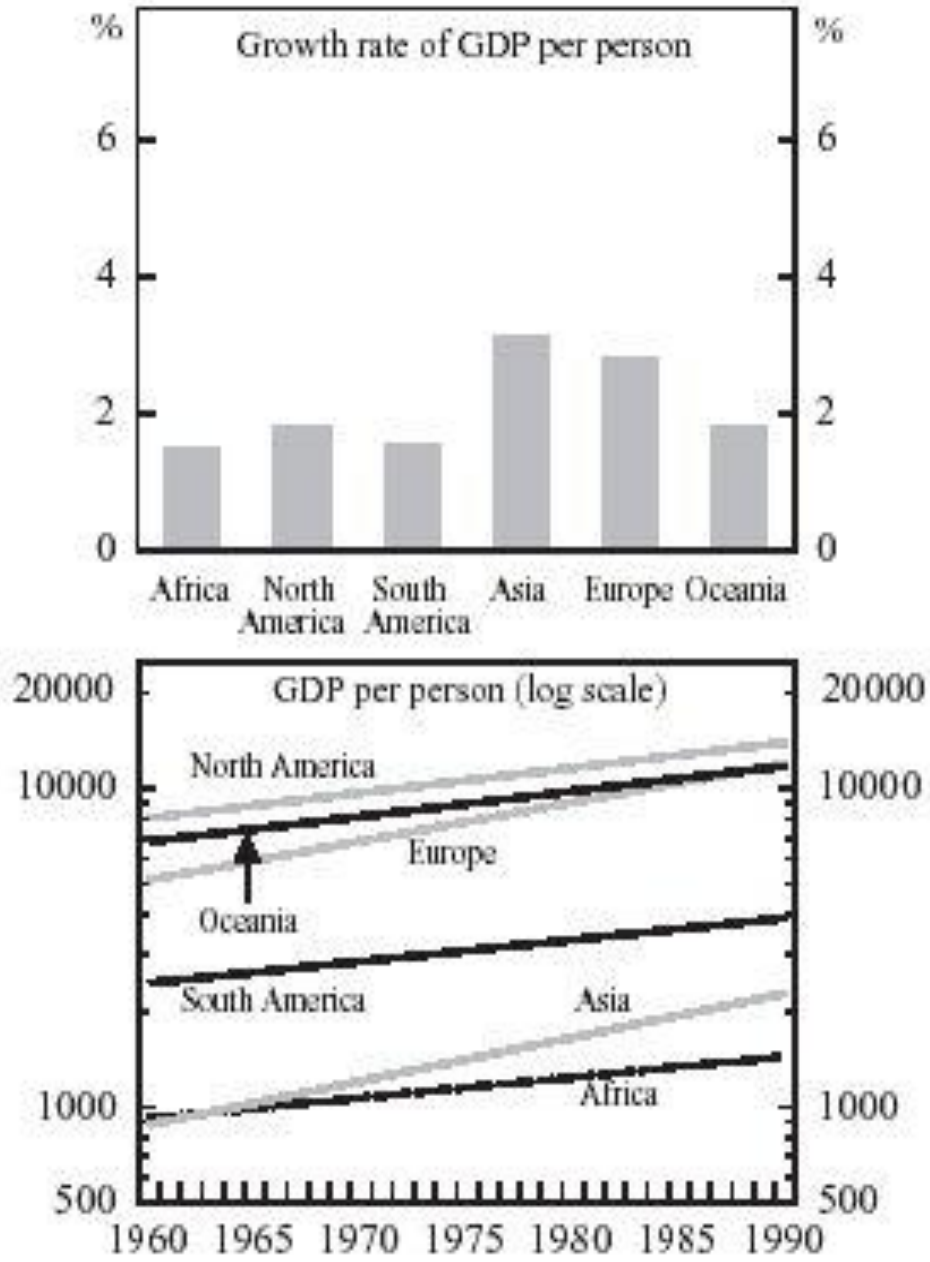


Figure 2: Asian Growth
(1960-1990)

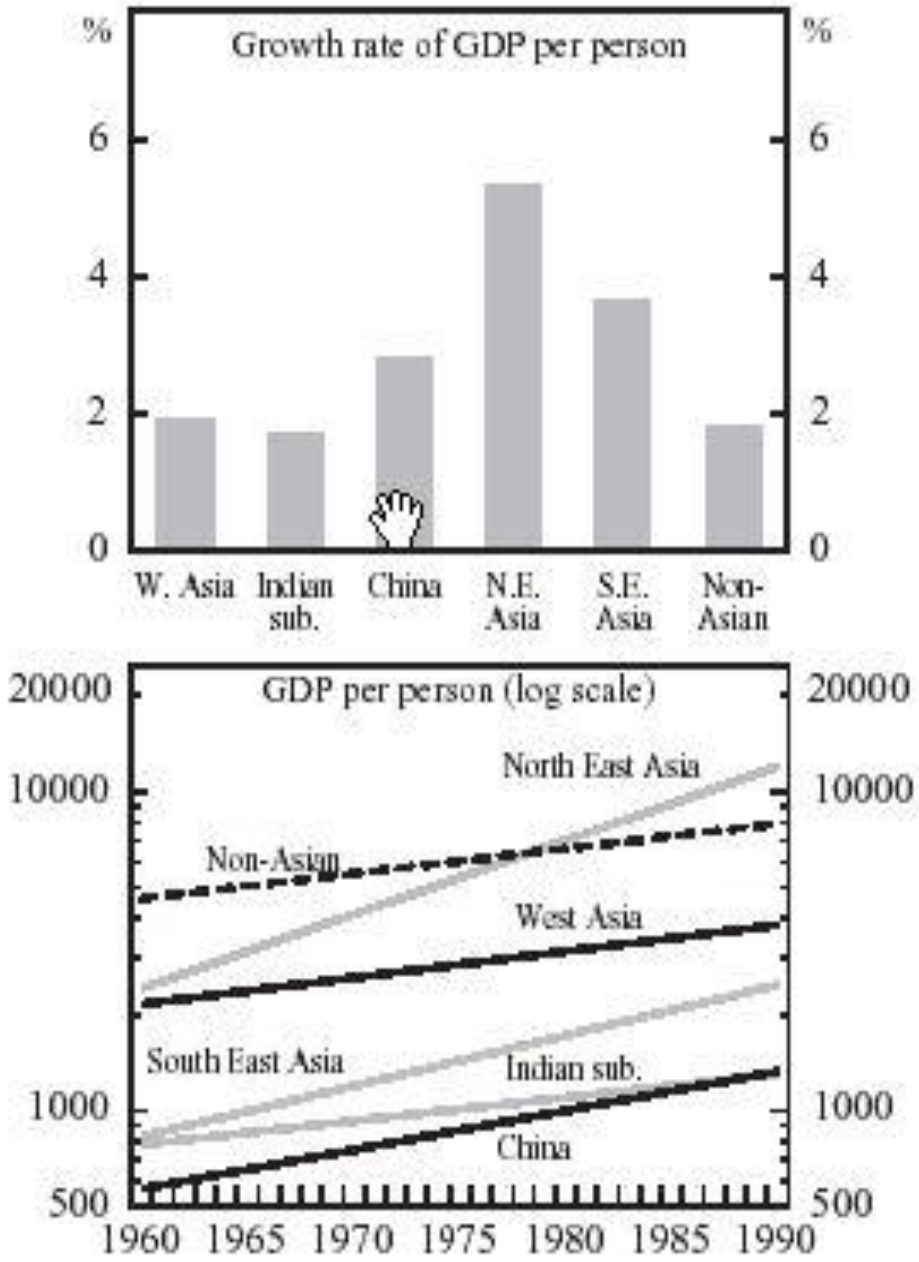


Figure 3: Growth in North-East Asia
(1960-1990)

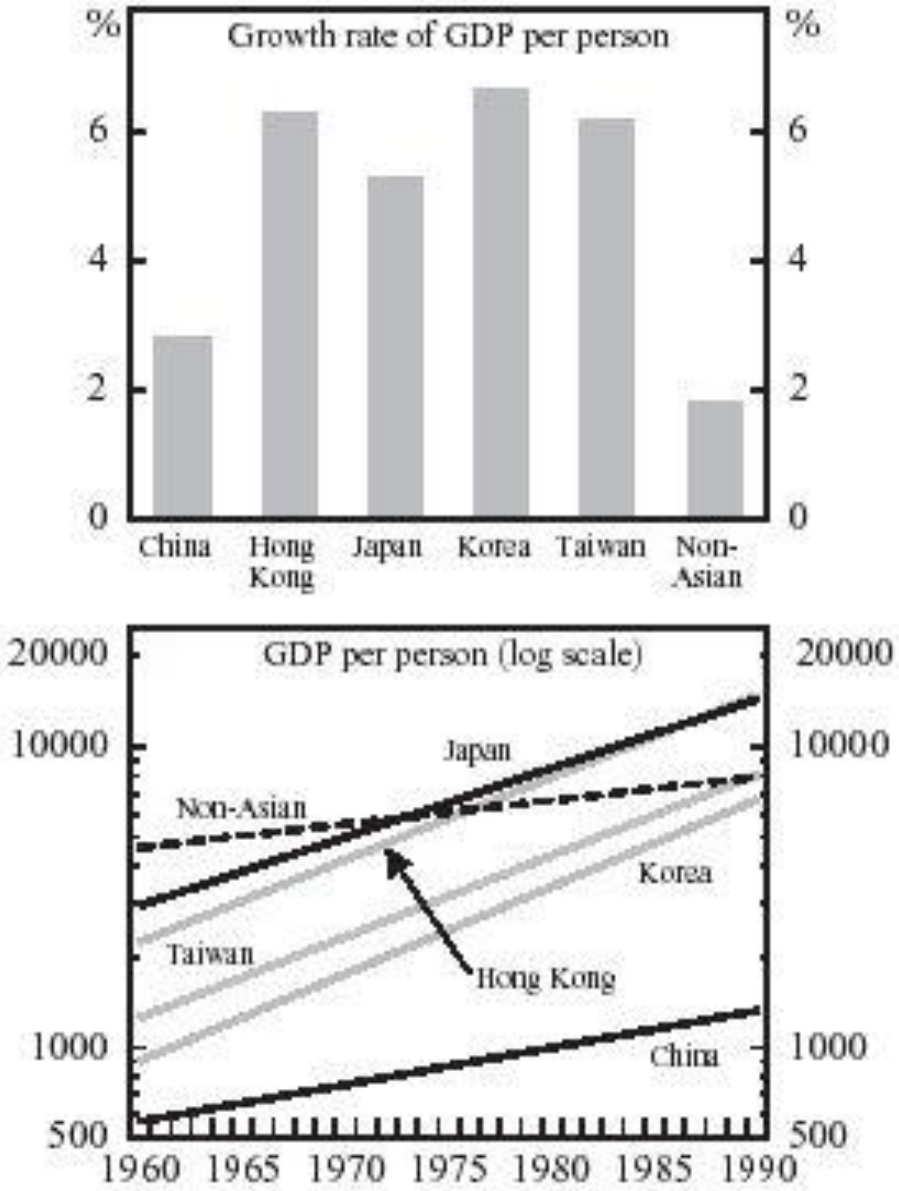
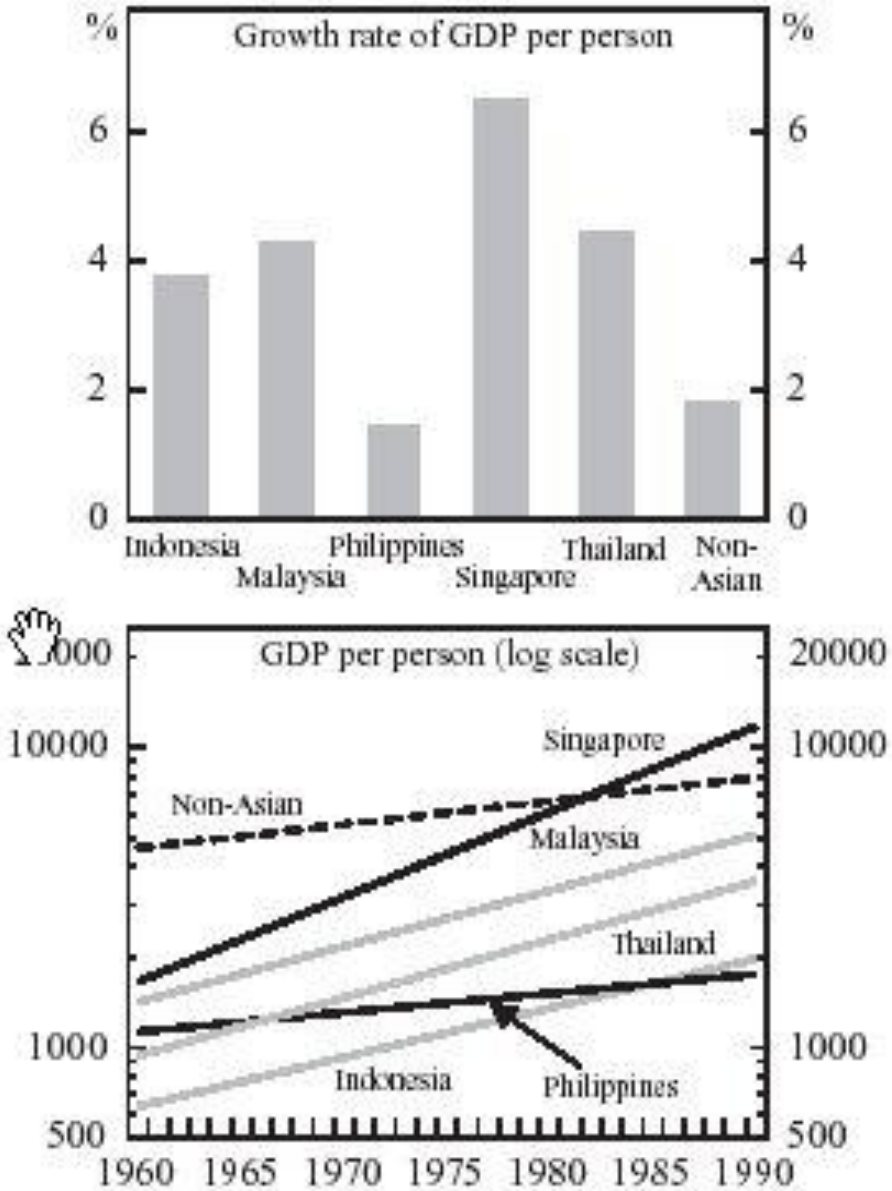


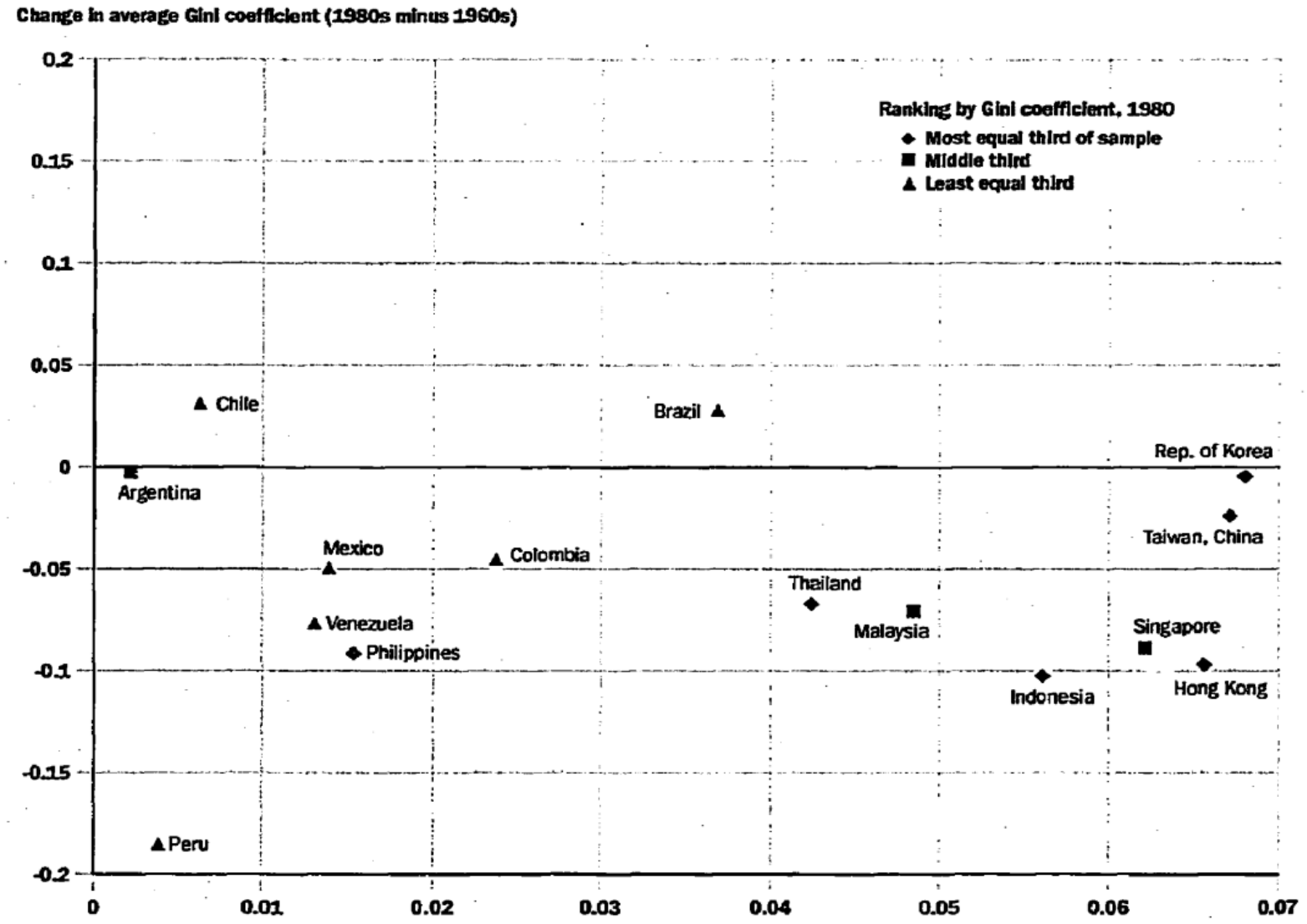
Figure 4: Growth in South-East Asia
(1960-1990)



Note: GDP per person measured in PPP 1985 dollars.

Rapid Growth with Equality

Figure 3 Change in Inequity and the GDP per Capita Growth Rate



The East Asian Model

- Export-oriented strategy
- Post-war period: “easy ISI”
- Late 1950s / Early 1960s: shift emphasis to exports.
  - Forced manufacturers to worry about international competitiveness
  - Invested resources in domestic industries that were profitable in world markets (Latin American & African countries did not)
- Relied on protectionism for their domestic markets
- BUT allowed selective liberalization to lower costs for “critical inputs” (so did Latin America, no?)
- Stable macroeconomic environment:
  - Low inflation: Helps encourage savings
  - Appropriately valued exchange rates: Helps promote exports
  - Conservative fiscal policies (borrowed little)

3 Stages of the East Asian Model

1. Industrial policy promotes labor-intensive light industry (easy ISI – e.g., textiles)
2. Target heavy industries (e.g., steel, shipbuilding, petrochemicals)
3. Target high skill plus R&D-intensive industries (e.g., computers)

- (How is this different from Latin America?)

Using monetary policy to promote exports

- Exporting firms paid interest rates of 6-12%
- Other borrowers paid 20-22%
- Short-term loans unlimited for confirmed export orders
- Credit also made available to exporters' input suppliers (and the suppliers' suppliers)
- Created "free-trade zones" / "export processing zones"

Was success due to markets or states?

- Centralized or Decentralized mechanisms of allocation?
- Mix?
- Used industrial policy to shift resources to the export industry
- Used world markets to “get prices right” for export industry
- Emphasized exports rather than the domestic markets

Thank You!

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Take-away

- Neo-liberalism & Export-oriented industrialization
- Winners, losers & economic reform
- Current Account
- Conservative macroeconomic policies
  - Low inflation
  - Appropriately valued exchange rates
  - Conservative fiscal policies (low spending, adequate taxation)